“only” two and three times, respectively, larger than India’s, by 2015, China’s GDP was five times larger than India’s and China’s military expenditure four times larger than India’s. In addition, China’s foreign policy has taken a more assertive turn in recent years,[9] and Xi Jinping’s ambitious Belt and Road Initiative is increasing China’s economic and strategic footprint in India’s neighbourhood, both on land and at sea.[10] Clearly, the growing power gap and China’s growing economic presence and political influence in India’s continental and maritime periphery complicate India’s leverage in its own neighbourhood and the wider Indo-Pacific region and mean that China today represents a different challenge to India from only 10 or 15 years ago. In fact, the 2017 Doklam standoff and the 2020 crisis in Eastern Ladakh, with several casualties on both sides, are the most serious border clashes between India and China in several decades, indicating that tensions are running high at the core of this relationship.

Fifth, China’s rise not only represents a challenge for India but is altering the balance of power in Asia and in the international system (see Figure 1.2). While China’s GDP in 2005 was only half that of Japan, by 2015, it had grown to be larger than the combined GDPs of India, Japan, and Russia, and China’s military expenditure is now also larger than the combined defence budgets of India, Japan, and Russia.